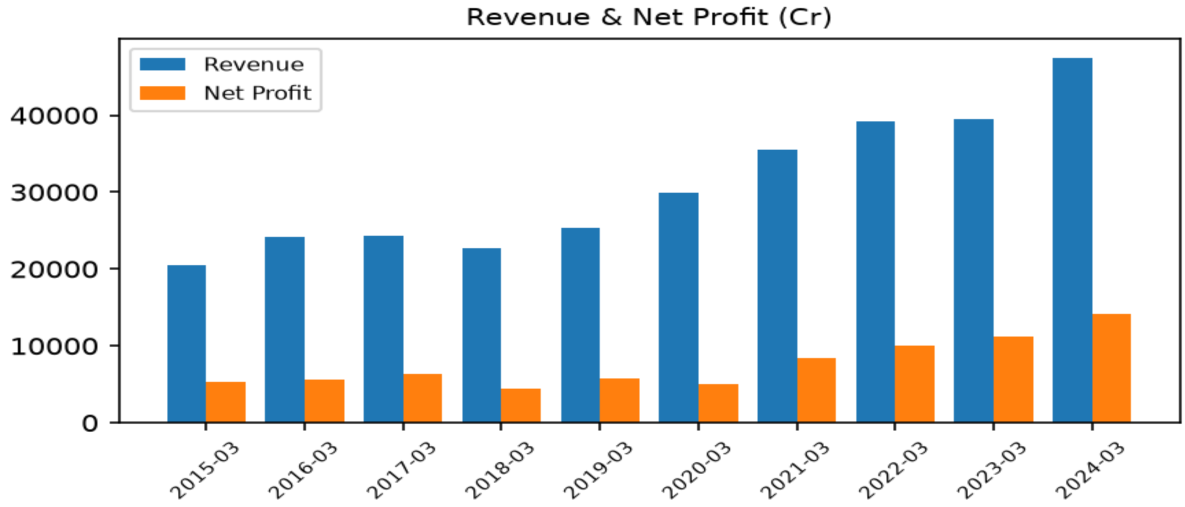
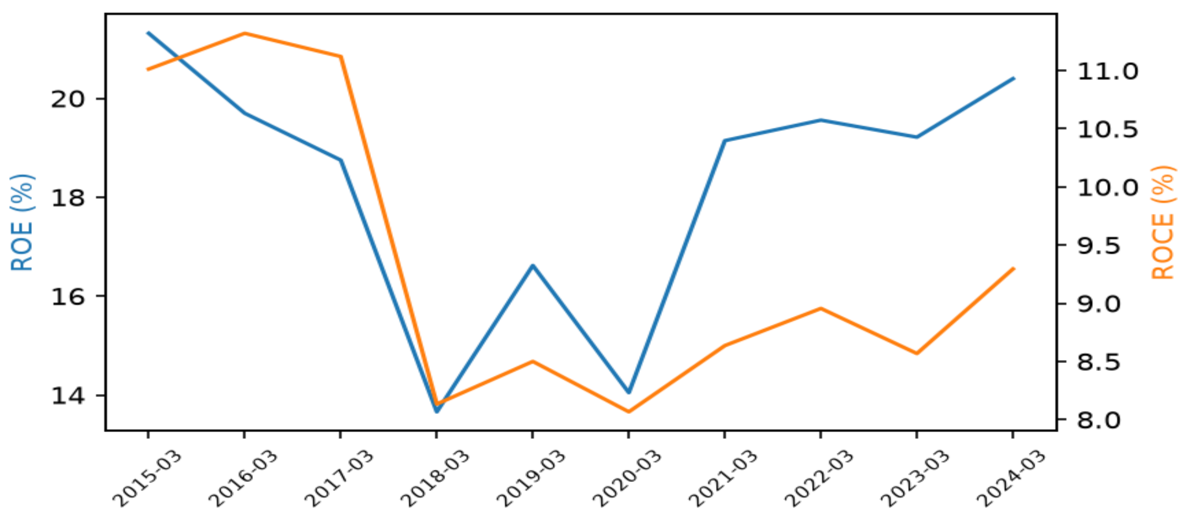
REC Ltd (RECLTD)

ROE 20.4%	**ROCE** 9.3%	**Net Profit Margin** 29.8%
D/E 6.4	**Revenue CAGR 5yr** 13.3%	**Free Cash Flow (Cr)** -59554.0

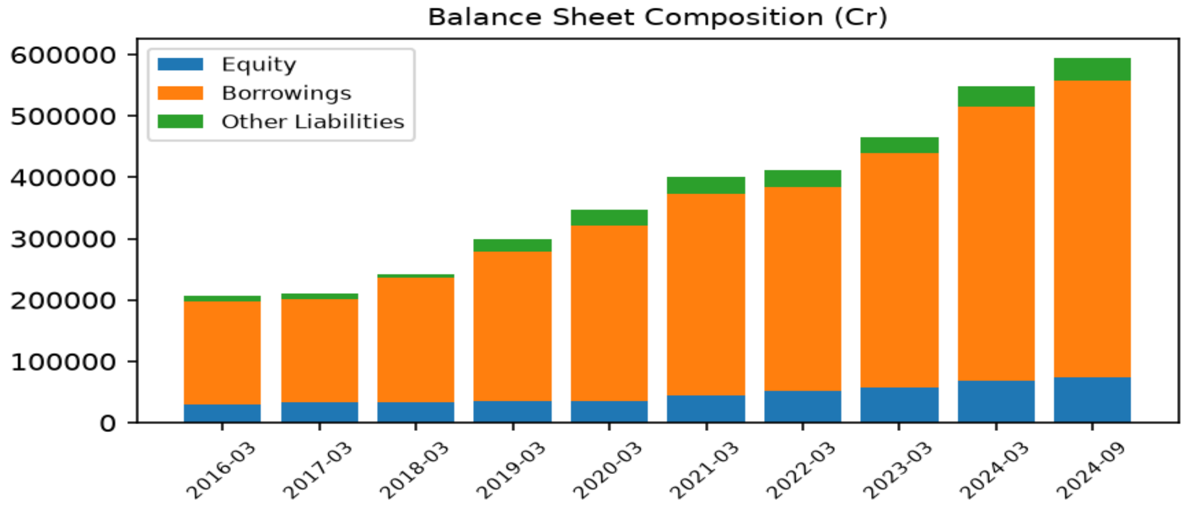
Revenue & Net Profit (10yr)



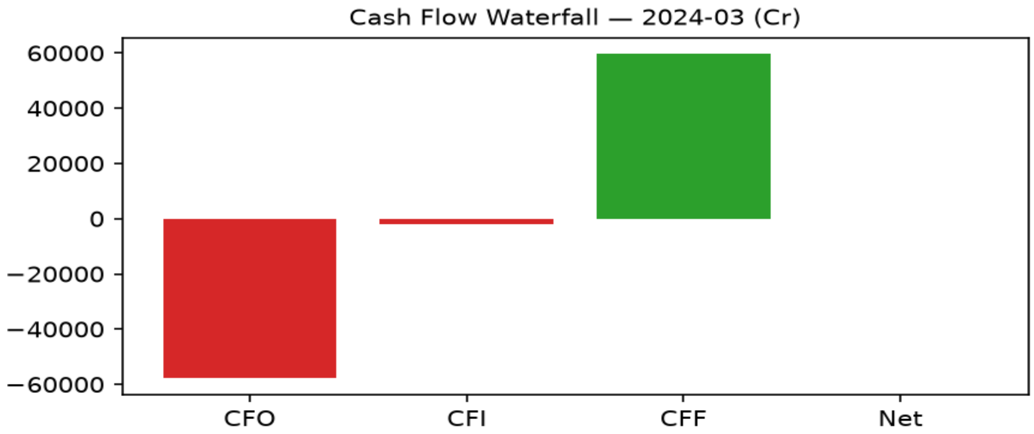
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt